

# Cyber Protection Policy Application: Cedar Ridge Accounting Group (Sample)

## Application form

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Corgi Insurance Company, Inc. · Cyber Protection Policy Application · Form CORG-CY-0202 (10/26)

*SPECIMEN: completed sample for illustration only. Cedar Ridge Accounting Group and all people named below are fictional.*

### Before you start

- **This application becomes part of your policy** if we issue one. We rely on your answers to decide whether to insure you, on what terms and at what price.
- **Who can apply:** U.S. businesses with \$1M–\$50M in revenue that are not in the classes listed in question 1.13.
- **Answer honestly, and say so if you're unsure.** Honest mistakes lead to adjusted terms, not a void policy (policy Section V, part 3). Only deliberate, material misstatements can void coverage.
- **We only hold you to the questions we ask.** You don't need to volunteer anything else. Answers marked "optional" are for our information only.
- **Ask your IT provider to help.** Many security questions are best answered with them. Where we ask for evidence, attach a screenshot or export.
- **We scan your internet-facing systems before we issue a policy.** We won't later use anything that scan showed to deny or reduce a claim. The one exception: a known-exploited vulnerability we warned you about in writing that stayed unfixed for 45 days (policy Section III, part 1.7).
- **Liability coverages are claims-made and reported,** and defense costs reduce your limits.

Most businesses finish in about 30–45 minutes, plus time to gather the evidence we ask for. Checked boxes (☑) show this sample applicant's answers.

## Part 1: Applicant and business information

| #    | Question                                                                                                                                                                                                                                                                          | Answer                                                                                                                    |
|------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------|
| 1.1  | Legal name of applicant                                                                                                                                                                                                                                                           | Cedar Ridge Accounting Group, LLC                                                                                         |
| 1.2  | Trade name (if different)                                                                                                                                                                                                                                                         | Cedar Ridge CPAs                                                                                                          |
| 1.3  | Main address                                                                                                                                                                                                                                                                      | 1450 Market Street, Suite 600, Denver, CO 80202                                                                           |
| 1.4  | Other locations                                                                                                                                                                                                                                                                   | Boulder, CO (satellite office, 9 staff)                                                                                   |
| 1.5  | Website and email domains                                                                                                                                                                                                                                                         | cedarridgecpa.com                                                                                                         |
| 1.6  | Entity type and year founded                                                                                                                                                                                                                                                      | Limited liability company, 2009                                                                                           |
| 1.7  | Industry and NAICS code                                                                                                                                                                                                                                                           | Accounting services, NAICS 541211 (Offices of Certified Public Accountants)                                               |
| 1.8  | Describe what you do                                                                                                                                                                                                                                                              | Tax preparation, audit and review, bookkeeping and outsourced payroll for about 2,400 individual and 380 business clients |
| 1.9  | Revenue: last fiscal year / next 12 months                                                                                                                                                                                                                                        | \$8,100,000 / \$8,500,000 (projected)                                                                                     |
| 1.10 | Does any one customer provide more than 10% of revenue?                                                                                                                                                                                                                           | <input type="checkbox"/> Yes <input checked="" type="checkbox"/> No. Largest client is about 3%                           |
| 1.11 | Employees                                                                                                                                                                                                                                                                         | 62 (54 full-time, 8 seasonal during tax season)                                                                           |
| 1.12 | Subsidiaries or affiliates to be covered                                                                                                                                                                                                                                          | None                                                                                                                      |
| 1.13 | As a business, do you offer adult content, cannabis, cryptocurrency, gambling, debt collection, managed IT services for others, or payment processing for others (processing card or bank payments for other businesses)?<br>Running payroll for your own clients is asked in 5.4 | <input type="checkbox"/> Yes <input checked="" type="checkbox"/> No                                                       |
| 1.14 | Main contact                                                                                                                                                                                                                                                                      | Dana Whitfield, Managing Partner<br>(dana.whitfield@cedarridgecpa.com)                                                    |
| 1.15 | Security contact (receives our security alerts)                                                                                                                                                                                                                                   | Marcus Oyelaran, IT and Security Manager<br>(marcus.oyelaran@cedarridgecpa.com)                                           |

## Part 2: Coverage requested and insurance history

| #   | Question                  | Answer                                                                                                                                                    |
|-----|---------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------|
| 2.1 | Proposed effective date   | October 15, 2026                                                                                                                                          |
| 2.2 | Aggregate limit requested | <input type="checkbox"/> \$1,000,000 <input checked="" type="checkbox"/> \$2,000,000 <input type="checkbox"/> \$3,000,000                                 |
| 2.3 | Retention                 | <input checked="" type="checkbox"/> Standard for our revenue band (\$10,000 before credits) <input type="checkbox"/> Higher retention for a lower premium |

| #   | Question                                                                                            | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|-----|-----------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 2.4 | Optional coverages requested                                                                        | <input checked="" type="checkbox"/> P. Dependent system failure <input type="checkbox"/> Q. Website tracking liability <input checked="" type="checkbox"/> R. Increased fraud limit ( <input checked="" type="checkbox"/> \$500,000 <input type="checkbox"/> \$1,000,000) <input type="checkbox"/> S. Key customer interruption <input type="checkbox"/> T. Impersonation response <input type="checkbox"/> System failure full-limit option |
| 2.5 | Do you have cyber insurance now?                                                                    | <input checked="" type="checkbox"/> Yes <input type="checkbox"/> No. A \$50,000 cyber sublimit inside our business owners policy, expiring October 15, 2026                                                                                                                                                                                                                                                                                  |
| 2.6 | Why are you buying standalone coverage?                                                             | Our current sublimit would not cover a ransomware attack or a breach of client tax records; two business clients now require at least \$1M of cyber coverage                                                                                                                                                                                                                                                                                 |
| 2.7 | Has any insurer declined, cancelled or refused to renew cyber coverage for you in the last 3 years? | <input type="checkbox"/> Yes <input checked="" type="checkbox"/> No                                                                                                                                                                                                                                                                                                                                                                          |
| 2.8 | Retroactive date requested                                                                          | Full prior acts                                                                                                                                                                                                                                                                                                                                                                                                                              |
| 2.9 | Do you carry professional liability (accountants' errors and omissions) insurance?                  | <input checked="" type="checkbox"/> Yes <input type="checkbox"/> No. \$2,000,000 limit, claims-made, renewing June 1, 2027                                                                                                                                                                                                                                                                                                                   |

## Part 3: Data and privacy

| #    | Question                                                              | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|------|-----------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 3.1  | Which types of personal information do you store?                     | <input checked="" type="checkbox"/> Social Security numbers <input checked="" type="checkbox"/> Financial account numbers <input checked="" type="checkbox"/> Tax returns <input checked="" type="checkbox"/> Driver's license numbers <input checked="" type="checkbox"/> Limited health information (medical deductions, HSA records) <input type="checkbox"/> Payment card numbers (we don't store them; see 3.10) <input type="checkbox"/> Biometric data |
| 3.2  | Approximate number of individuals whose personal information you hold | About 31,000 current and former clients, dependents and employees (7-year retention), including about 1,300 employees of our 40 payroll clients. Most records include a Social Security number                                                                                                                                                                                                                                                                |
| 3.3  | Where do those individuals live?                                      | Colorado about 88%; the rest across 26 other states                                                                                                                                                                                                                                                                                                                                                                                                           |
| 3.4  | Do you keep paper records with personal information?                  | <input checked="" type="checkbox"/> Yes <input type="checkbox"/> No. Scanned and shredded since 2020; older files in locked offsite storage                                                                                                                                                                                                                                                                                                                   |
| 3.5a | Are laptops encrypted?                                                | <input checked="" type="checkbox"/> Yes <input type="checkbox"/> No. Full-disk encryption on all laptops                                                                                                                                                                                                                                                                                                                                                      |
| 3.5b | How do you send documents containing personal information?            | Through our encrypted client portal. A data-loss rule blocks Social Security numbers in outgoing email                                                                                                                                                                                                                                                                                                                                                        |
| 3.5c | Is cloud storage encrypted?                                           | <input checked="" type="checkbox"/> Yes <input type="checkbox"/> No                                                                                                                                                                                                                                                                                                                                                                                           |
| 3.6  | Do you have a written retention and deletion schedule?                | <input checked="" type="checkbox"/> Yes <input type="checkbox"/> No. Records kept 7 years under our schedule (longer than the IRS minimum periods), then securely deleted                                                                                                                                                                                                                                                                                     |
| 3.7  | Does your website have a privacy policy?                              | <input checked="" type="checkbox"/> Yes <input type="checkbox"/> No. Last reviewed March 2026                                                                                                                                                                                                                                                                                                                                                                 |

| #    | Question                                                   | Answer                                                                                                                                                                                                                 |
|------|------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 3.8  | Which tracking tools run on your website or apps?          | Google Analytics 4 only, behind a cookie consent banner. <input type="checkbox"/> Meta or ad pixels <input type="checkbox"/> Session replay <input type="checkbox"/> Chat widgets                                      |
| 3.9  | Do you sell or share personal information for advertising? | <input type="checkbox"/> Yes <input checked="" type="checkbox"/> No                                                                                                                                                    |
| 3.10 | Do you accept payment cards? If yes, how?                  | <input checked="" type="checkbox"/> Yes <input type="checkbox"/> No. Client fees through our processor's hosted payment page; about \$410,000 a year; card numbers never touch our systems (PCI self-assessment SAQ A) |

## Part 4: Security controls

Questions follow the six functions of the NIST Cybersecurity Framework 2.0 and the CIS Controls v8.1 essential safeguards. Answers marked ★ set your security credits, whether ransomware coinsurance applies, and your Coverage H limit.

### Govern

| #   | Question                                                  | Answer                                                                                                                                                                    |
|-----|-----------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 4.1 | Is one named person responsible for information security? | <input checked="" type="checkbox"/> Yes <input type="checkbox"/> No. IT and Security Manager, reporting to the managing partner                                           |
| 4.2 | Do you have a written information security program?       | <input checked="" type="checkbox"/> Yes <input type="checkbox"/> No. Required for us under the FTC Safeguards Rule; last reviewed March 2026                              |
| 4.3 | Do you use an outside IT provider?                        | <input checked="" type="checkbox"/> Yes <input type="checkbox"/> No. Front Range IT Partners (managed IT provider) handles patching and helpdesk under a written contract |

### Identify

| #   | Question                                                                    | Answer                                                                                                                                                                                                                          |
|-----|-----------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 4.4 | Do you keep an up-to-date inventory of devices and software?                | <input checked="" type="checkbox"/> Yes <input type="checkbox"/> No. Automated through endpoint management: 71 laptops, 14 phones, 2 on-site servers                                                                            |
| 4.5 | Have you completed a security risk assessment in the last 12 months?        | <input checked="" type="checkbox"/> Yes <input type="checkbox"/> No. January 2026, by our IT provider                                                                                                                           |
| 4.6 | Do you run any operating system or software past the end of vendor support? | <input checked="" type="checkbox"/> Yes <input type="checkbox"/> No. One legacy print server (Windows Server 2012 R2), isolated on its own network segment; replacement scheduled for December 2026. All laptops run Windows 11 |

### Protect

| #        | Question                                           | Answer                                                                                                                                                                                                                                                 |
|----------|----------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 4.7<br>★ | Is multi-factor authentication (MFA) required for: | <input checked="" type="checkbox"/> Email (all users) <input checked="" type="checkbox"/> Remote access and VPN <input checked="" type="checkbox"/> Cloud and admin accounts <input checked="" type="checkbox"/> Tax, accounting and payroll platforms |

| #         | Question                                                                                      | Answer                                                                                                                                                                                                                                                             |
|-----------|-----------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 4.8       | List any accounts without MFA                                                                 | One scanner service account, limited to our internal network and unable to log in remotely. Evidence: Microsoft 365 conditional access report attached. (For information: admin accounts use hardware security keys.)                                              |
| 4.9<br>★  | How do staff connect remotely?                                                                | Company VPN with MFA, on current supported firmware. <input type="checkbox"/> Remote desktop (RDP) open to the internet <input type="checkbox"/> End-of-life VPN or remote tools. Our old VPN appliance was replaced in 2025                                       |
| 4.10      | How does your IT provider connect to your systems?                                            | Through its remote monitoring and management tool, with MFA, access limited to named technicians, and every session logged                                                                                                                                         |
| 4.11      | Are admin accounts separate from everyday accounts?                                           | <input checked="" type="checkbox"/> Yes <input type="checkbox"/> No. Three admin accounts; staff have no local admin rights                                                                                                                                        |
| 4.12      | How quickly are critical patches applied?                                                     | Internet-facing systems within 72 hours; everything else within 14 days. Our IT provider tracks CISA's Known Exploited Vulnerabilities catalog                                                                                                                     |
| 4.13      | Email protections                                                                             | <input checked="" type="checkbox"/> SPF <input checked="" type="checkbox"/> DKIM <input checked="" type="checkbox"/> DMARC set to reject <input checked="" type="checkbox"/> Advanced filtering <input checked="" type="checkbox"/> External-sender warning banner |
| 4.14      | Security awareness training                                                                   | <input checked="" type="checkbox"/> Yes <input type="checkbox"/> No. Annual training plus quarterly phishing tests; 96% completion in 2026                                                                                                                         |
| 4.15<br>★ | Is endpoint detection and response (EDR) installed on all laptops and servers?                | <input checked="" type="checkbox"/> Yes <input type="checkbox"/> No. Installed on 100% of laptops and servers. Evidence: EDR console export attached                                                                                                               |
| 4.16      | Are your IRS e-Services and e-file credentials protected with MFA and limited to named staff? | <input checked="" type="checkbox"/> Yes <input type="checkbox"/> No. Four named staff; reviewed each January                                                                                                                                                       |

## Detect

| #         | Question                                                                                          | Answer                                                                                                                                              |
|-----------|---------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------|
| 4.17<br>★ | Are EDR alerts watched 24/7 by a managed detection and response service that can isolate devices? | <input type="checkbox"/> Yes <input checked="" type="checkbox"/> No. Our IT provider reviews alerts 8 a.m. to 6 p.m. Mountain time on business days |
| 4.18      | How long do you keep security logs?                                                               | Microsoft 365 audit logs kept 180 days, with alerts sent to our IT provider                                                                         |

## Respond

| #    | Question                                      | Answer                                                                                                                                                  |
|------|-----------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------|
| 4.19 | Do you have a written incident response plan? | <input checked="" type="checkbox"/> Yes <input type="checkbox"/> No. Updated February 2026; includes breach counsel contacts and state notice deadlines |
| 4.20 | Has the plan been tested?                     | <input checked="" type="checkbox"/> Yes <input type="checkbox"/> No. Ransomware tabletop exercise, April 2026                                           |

## Recover

| #         | Question                                              | Answer                                                                                                                                                                                   |
|-----------|-------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 4.21<br>★ | How are critical systems and data backed up?          | Daily cloud backups of Microsoft 365 and our file server, with an immutable copy, plus a weekly offline copy                                                                             |
| 4.22      | Are backups protected from your own admin accounts?   | <input checked="" type="checkbox"/> Yes <input type="checkbox"/> No. The backup console uses separate admin accounts with MFA, and the immutable copy can't be deleted by our own admins |
| 4.23<br>★ | When did you last successfully test a full restore?   | June 12, 2026. File server restored in 6 hours. Evidence: restore-test log attached                                                                                                      |
| 4.24      | How long could you operate without your main systems? | About 1 day during tax season (February–April); about 3 days otherwise                                                                                                                   |

## Part 5: Fraud and payment controls

| #        | Question                                                                                                                                                                       | Answer                                                                                                                                                                                                    |
|----------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 5.1      | Who can send wires or ACH payments from your own accounts?                                                                                                                     | Two partners and the controller; any payment over \$10,000 needs two approvals. About 60 outgoing payments a month, typically under \$25,000                                                              |
| 5.2<br>★ | Before adding or changing bank or payment details for a vendor, client, employee or a payroll client's employee, do you confirm by phone using a number from your own records? | <input checked="" type="checkbox"/> Yes <input type="checkbox"/> No. Written procedure; numbers come from our own records, never from the request. Evidence: procedure and 2026 training records attached |
| 5.3<br>★ | Do you confirm the same way for any transfer over \$5,000 requested by email, text, messaging app, phone or video call?                                                        | <input checked="" type="checkbox"/> Yes <input type="checkbox"/> No                                                                                                                                       |
| 5.4      | Do you move money on behalf of clients?                                                                                                                                        | <input checked="" type="checkbox"/> Yes <input type="checkbox"/> No. Payroll for 40 business clients through our payroll platform, with dual approval on every batch                                      |
| 5.5      | If yes: how much client money do you move, and what is the largest single transfer or batch?                                                                                   | About \$2.4 million a month across 40 clients; largest single payroll batch about \$210,000                                                                                                               |
| 5.6      | Do you use positive pay or similar bank fraud controls?                                                                                                                        | <input checked="" type="checkbox"/> Yes <input type="checkbox"/> No                                                                                                                                       |
| 5.7      | Are staff trained to spot fake invoices, business email compromise and deepfake calls?                                                                                         | <input checked="" type="checkbox"/> Yes <input type="checkbox"/> No. Training includes a code-word check for any urgent payment request by voice or video                                                 |
| 5.8      | How do you send invoices?                                                                                                                                                      | Mostly through our secure client portal; some by emailed PDF                                                                                                                                              |

## Part 6: Vendors, AI and technology use

| #   | Question                                                                                                 | Answer                                                                                                                                                              |
|-----|----------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 6.1 | Which technology or outsourced-processing providers would stop your business if they went down?          | Microsoft 365 (email and files); our cloud tax-preparation platform; our payroll platform; our managed IT provider; our client portal                               |
| 6.2 | How did you agree to their terms?                                                                        | Written contracts with our IT provider and payroll platform; standard online terms for the others                                                                   |
| 6.3 | Do you review key vendors' security?                                                                     | <input checked="" type="checkbox"/> Yes <input type="checkbox"/> No. We obtain SOC 2 reports from our IT provider and payroll platform each year                    |
| 6.4 | Do you use artificial intelligence tools?                                                                | <input checked="" type="checkbox"/> Yes <input type="checkbox"/> No. Microsoft 365 Copilot for drafting and summarizing                                             |
| 6.5 | Do you have rules for using AI?                                                                          | <input checked="" type="checkbox"/> Yes <input type="checkbox"/> No. A written policy bans entering client Social Security numbers or tax data into public AI tools |
| 6.6 | Can any AI tool you use send payments, emails or files on its own, without a person approving each step? | <input type="checkbox"/> Yes <input checked="" type="checkbox"/> No. Copilot drafts and summarizes only; a person sends everything                                  |
| 6.7 | Do you develop or sell software?                                                                         | <input type="checkbox"/> Yes <input checked="" type="checkbox"/> No                                                                                                 |

## Part 7: Regulatory footprint

| #   | Question                                                                                                                                                                                                       | Answer                                                                                                                                                                                                                                            |
|-----|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 7.1 | Do you prepare tax returns, run payroll or provide other financial services?                                                                                                                                   | <input checked="" type="checkbox"/> Yes <input type="checkbox"/> No. Tax preparation for about 2,400 individuals; payroll for 40 business clients. Our written information security plan follows IRS Publication 4557 and the FTC Safeguards Rule |
| 7.2 | Do you receive patient information from healthcare providers or health plans (HIPAA)?                                                                                                                          | <input type="checkbox"/> Yes <input checked="" type="checkbox"/> No. The health information in 3.1 comes from individual tax clients about themselves                                                                                             |
| 7.3 | Are you an SEC reporting company, or regulated by the New York Department of Financial Services?                                                                                                               | <input type="checkbox"/> Yes <input checked="" type="checkbox"/> No                                                                                                                                                                               |
| 7.4 | Which PCI DSS self-assessment questionnaire does your card processor require?                                                                                                                                  | SAQ A                                                                                                                                                                                                                                             |
| 7.5 | In the last calendar year, did you process the personal data of 100,000 or more Colorado consumers (not counting employees or business contacts)? Do you earn revenue or discounts from selling personal data? | <input type="checkbox"/> Yes <input checked="" type="checkbox"/> No / <input type="checkbox"/> Yes <input checked="" type="checkbox"/> No. About 27,000 Colorado individuals in total, including employees; we don't sell data                    |
| 7.6 | Do you collect biometric data (fingerprints, face or voice scans)?                                                                                                                                             | <input type="checkbox"/> Yes <input checked="" type="checkbox"/> No                                                                                                                                                                               |

## Part 8: Loss history and known circumstances

| #   | Question                                                                                                                                                                                                                                                                                                    | Answer                                                                                                                                                                                                                                                           |
|-----|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 8.1 | In the last 3 years, have you had any of the following: a data breach (unauthorized access to personal information that required, or might have required, notice to anyone); a ransomware attack or extortion demand; a loss of money to a fraudulent payment request; or a cyber-related claim or lawsuit? | <input type="checkbox"/> Yes <input checked="" type="checkbox"/> No                                                                                                                                                                                              |
| 8.2 | Optional: describe any attacks you stopped. (Optional answers are for our information only and can't be used to deny or reduce a claim)                                                                                                                                                                     | February 2025: an email posing as a vendor asked us to change its bank details. Our callback procedure caught it; no money was sent. March 2026: a phishing email captured one employee's password; MFA blocked the login, and we reset the account the same day |
| 8.3 | Has any regulator asked you about privacy or data security?                                                                                                                                                                                                                                                 | <input type="checkbox"/> Yes <input checked="" type="checkbox"/> No                                                                                                                                                                                              |
| 8.4 | Does any partner, officer or your IT and security manager know of any fact or situation that could reasonably lead to a claim under this policy?                                                                                                                                                            | <input type="checkbox"/> Yes <input checked="" type="checkbox"/> No                                                                                                                                                                                              |

## Part 9: Signatures and fraud warnings

### Our statement

We have answered these questions after reasonable inquiry, including with our IT provider. We will tell Corgi if any answer changes before the effective date. We understand that an honest mistake leads to adjusted terms rather than a void policy, but that a deliberate, material misstatement can void coverage.

| Signed              | Name and title                           | Date               |
|---------------------|------------------------------------------|--------------------|
| /s/ Dana Whitfield  | Dana Whitfield, Managing Partner         | September 24, 2026 |
| /s/ Marcus Oyelaran | Marcus Oyelaran, IT and Security Manager | September 24, 2026 |

We agree to receive policy documents and notices electronically.

### Fraud warnings

**All applicants:** Anyone who knowingly gives false or misleading information to obtain insurance, or to be paid on a claim, may be committing a crime and may face fines, imprisonment and denial of benefits.

**Colorado applicants:** It is unlawful to knowingly provide false, incomplete, or misleading facts or information to an insurance company for the purpose of defrauding or attempting to defraud the company. Penalties may include imprisonment, fines, denial of insurance, and civil damages. Any insurance company or agent of an insurance company who knowingly provides false, incomplete, or misleading facts or information to a policyholder or claimant for the purpose of defrauding or attempting to defraud the policyholder or claimant with regard to a settlement or award payable from insurance proceeds shall be reported to the Colorado Division of Insurance within the Department of Regulatory Agencies.

*Other states' required warnings are included on the state-specific version of this form.*

## **Evidence attached**

1. Microsoft 365 conditional access report (MFA, 4.7–4.8)
2. EDR console export showing coverage of all laptops and servers (4.15)
3. Restore-test log, June 12, 2026 (4.23)
4. Written payment verification procedure and 2026 training records (5.2–5.3)

## For underwriter use: how these answers set the policy terms

Every ★ answer, and each answer below, sets a term in the Declarations we would issue to Cedar Ridge. The entries themselves are in the last table.

| Answer                                                                                       | Result on the Declarations                                                                                                                                                                                                                                                                                                                     |
|----------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Revenue \$8.5M (1.9)                                                                         | Standard retention \$10,000 (revenue band \$5M–\$25M)                                                                                                                                                                                                                                                                                          |
| MFA on all listed systems and EDR on all devices (4.7, 4.15)                                 | 25% retention credit: retention \$7,500                                                                                                                                                                                                                                                                                                        |
| No 24/7 managed detection and response (4.17)                                                | Retention not cut 50%; waiting period for Coverages D and E stays at 8 hours                                                                                                                                                                                                                                                                   |
| MFA on all remote access, no end-of-life VPN (4.9)                                           | 10% premium credit: –\$853                                                                                                                                                                                                                                                                                                                     |
| Restore tested June 2026, immutable and offline copies (4.21, 4.23)                          | No ransomware coinsurance while backups stay verified. Retest by June 12, 2027 to stay free of it                                                                                                                                                                                                                                              |
| Written verification procedure, with training (5.2, 5.3)                                     | Coverage H at its full limit                                                                                                                                                                                                                                                                                                                   |
| Client payroll of \$2.4M a month, largest batch \$210,000 (5.4, 5.5)                         | Coverage R recommended and purchased: fraud limit \$500,000. The core \$250,000 would pay one diverted batch, but it is the limit for the whole year: a second diversion, or one compromise that redirects several clients' batches, would exhaust it. \$1,000,000 was offered for \$520; \$500,000 covers two diversions of the largest batch |
| About 31,000 records, mostly with Social Security numbers, and a tax-season peak (3.2, 4.24) | \$2,000,000 limit, under our limit rule: \$1M base; \$2M for more than about 25,000 sensitive records, client money or a seasonal peak; \$3M where a contract requires it                                                                                                                                                                      |
| Tax and payroll platforms would stop the business; 1-day tolerance in tax season (6.1, 4.24) | Attacks on these platforms are covered by core Coverage E (\$500,000). Coverage P recommended and purchased for non-malicious outages (a platform's own bad update or failure): \$250,000, 24-hour waiting period                                                                                                                              |
| No customer above 10% of revenue (1.10)                                                      | Coverage S not needed                                                                                                                                                                                                                                                                                                                          |
| Google Analytics only, with consent banner (3.8)                                             | Coverage Q offered but not required                                                                                                                                                                                                                                                                                                            |
| Accountants' professional liability in force (2.9)                                           | Coordination under policy Section V, part 9.2                                                                                                                                                                                                                                                                                                  |
| Scanner service account without MFA, disclosed (4.8)                                         | Accepted. Because it was disclosed, it cannot later be used to deny a claim                                                                                                                                                                                                                                                                    |
| Legacy print server past end of support, isolated on its own network segment (4.6)           | Recorded; replacement due December 2026                                                                                                                                                                                                                                                                                                        |

| Answer                                                                                                                                       | Result on the Declarations                                                                                                               |
|----------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------|
| Pre-issue scan, September 20, 2026:<br>no critical findings; one medium<br>finding (an outdated TLS setting on<br>the firm's public website) | Recorded. Fix requested within 30 days. A medium finding does not affect the claim-free reduction, which depends only on critical issues |
| Mid-term changes                                                                                                                             | Cedar Ridge must tell us within 30 days if it stops using a verified control in Item 7                                                   |

**Premium build:** core coverages at the \$1M base limit \$6,120, plus the increase to \$2M \$1,530, plus Coverage P \$600, plus Coverage R \$280, equals \$8,530. Less the 10% security credit (\$853): **\$7,677**.

**Cedar Ridge's Declarations entries (as quoted):**

| Declarations item              | Entry                                                                                                                              |
|--------------------------------|------------------------------------------------------------------------------------------------------------------------------------|
| Item 1. Named insured          | Cedar Ridge Accounting Group, LLC · 1450 Market Street, Suite 600, Denver, CO 80202 · cedarridgecpa.com                            |
| Item 2. Policy period          | October 15, 2026 to October 15, 2027                                                                                               |
| Item 3. Premium                | \$7,677; terrorism portion \$0; taxes and fees \$0. Producer: direct                                                               |
| Item 4. Policy aggregate limit | \$2,000,000                                                                                                                        |
| Item 5. Retention              | \$7,500 each incident (after the 25% credit)                                                                                       |
| Item 6. Optional coverages     | P purchased (\$250,000, 24-hour waiting period). R purchased at \$500,000. Q, S, T and the system failure full limit not purchased |
| Item 7. Security credits       | MFA plus EDR: earned. Hardened remote access: earned. 24/7 managed detection and response: not earned                              |
| Item 8. Claims-made dates      | Retroactive date: full prior acts. Continuity date: October 15, 2026                                                               |